

Multiple Choice (10 marks)

1. What gives rise to the difference in the aggregate demand for a nontrading or closed economy from a trading or open economy?
 - (a) Differences in taxation policies between economies
 - (b) The inclusion or exclusion of foreign direct investment
 - (c) absence of investment
 - (d) Variances in the level of technological advancement
 - (e) Variations in the savings rate of the population
2. If the Federal Reserve was concerned about the "crowding-out" effect they could engage in
 - (a) expansionary monetary policy by lowering the discount rate.
 - (b) expansionary monetary policy by selling Treasury securities.
 - (c) contractionary monetary policy by raising the discount rate.
 - (d) contractionary monetary policy by lowering the discount rate.
3. If the wage paid to all units of labor is \$4.50, how many units of labor are hired?
 - (a) 8
 - (b) 9
 - (c) 4
 - (d) 7
 - (e) 5
4. If productivity is increasing by a uniform 2 percent in all industries, what should the wage guideline be if the inflation is to be held at 6 percent?
 - (a) 14%
 - (b) 12%
 - (c) 11%
 - (d) 9%
 - (e) 2%
5. Higher levels of consumer wealth and optimism would likely have which of the following changes in the market for loanable funds? MARKET FOR LOANABLE FUNDS INTEREST RATE

- (a) Increase in supply Rising
- (b) Increase in demand Buying Rising
- (c) Decrease in demand Falling
- (d) Decrease in supply Rising

True / False (10 marks)

Answer True or False

- 6. True or False: The major factors of production include land, labor, capital, and entrepreneurship, essential for economic activity.
- 7. True or False: Psychic income is defined as income derived from psychic abilities and mental competitions, rather than job satisfaction.
- 8. True or False: Tariffs result in higher domestic prices by increasing the cost of imported goods, which domestic producers may then match or exceed.
- 9. True or False: Holding a 91-day Treasury bill purchased at 485,000 for a face value of 500,000 yields an interest rate of 10.4%.
- 10. True or False: Management in managerial economics primarily aims to maximize market share over the firm's value.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Discuss the implications of the assumption that the dependent variable in a standard regression model has a probability distribution. How does this affect model interpretation and inference?
- 12. Discuss the three types of budgets used by the U.S. government, analyzing their purposes and implications, and evaluate which type most effectively reflects macroeconomic policy challenges.

End of Paper